



Cambridge International Examinations
Cambridge Ordinary Level

Done!

ECONOMICS

2281/12

Paper 1 Multiple Choice

May/June 2017

45 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

* 1 9 5 2 9 7 7 1 3 5 *



READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Solved with reasons!

[Signature]

Zarak Murtaza!

This document consists of **9** printed pages and **3** blank pages.



1 Which is not a factor of production?

- A a farm → Land (Rent)
 B a farmer → Labour (wages)
 C a farmer's bank account
 D a second-hand tractor → Capital (interest)

2 Heavy rain caused floods in an area of a country.

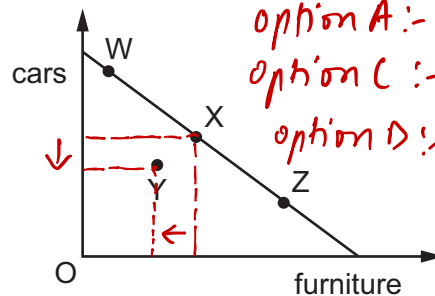
Real cost of choosing one thing and not another!

What may be an opportunity cost of repairing the damage caused?

- A the allocation of government funds to the area instead of on a new airport [alternative decision]
 B the cost of providing shelter for those made homeless private cost
 C the decline in the tourist industry in the area external cost
 D the loss of profits from businesses affected by the flood private cost

3 The diagram shows a production possibility curve for cars and furniture.

Unemployment / inefficiency
 ↑
 point inside the 'PPC'



option A :- output of cars increases
 option C :- output of cars increases
 option D :- output of cars increases

A recession causes a decrease in production in both cars and furniture.

Which movement would represent this change?

- A X to W B X to Y C Z to W D Z to Y

4 In response to an increase in price from \$5 per kilo to \$6 per kilo a chicken farmer increased supply from 400 kilos to 500 kilos per week.

What is the price elasticity of supply?

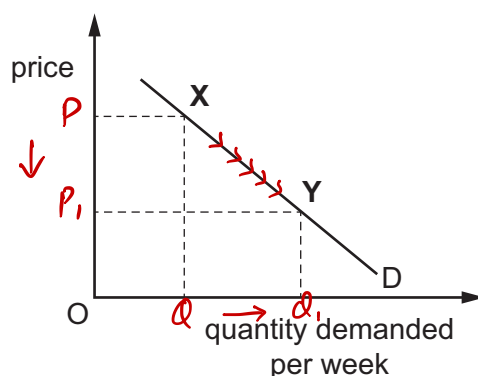
- A 0.8 B 0.9 C 1.2 D 1.25

$$PES = \frac{\% \Delta \text{ in } QS}{\% \Delta \text{ in price}} \Rightarrow \frac{25}{20} \Rightarrow 1.25 \text{ (Elastic supply)}$$

$$\% \Delta \text{ in } QS = \frac{\text{New} - \text{old}}{\text{old}} \times 100, \frac{500 - 400}{400} \times 100 \Rightarrow 25\%$$

$$\% \Delta \text{ in price} = \frac{\text{New} - \text{old}}{\text{old}} \times 100, \frac{6 - 5}{5} \times 100 \Rightarrow 20\%$$

- 5 The diagram shows the demand for chocolate.



What could cause the movement from point X to point Y?

- A a change in tastes (shift factor)
 ✓ B a fall in the price of chocolate (movement along the demand curve)
 C an increase in income (shift factor)
 D a successful advertising campaign for chocolate (shift factor)
- 6 A bee-keeper maintains hives of bees to produce honey. The bees can pollinate neighbours' fruit trees but also give a painful sting to gardeners.

Private cost, Private benefit

External Benefit

External cost

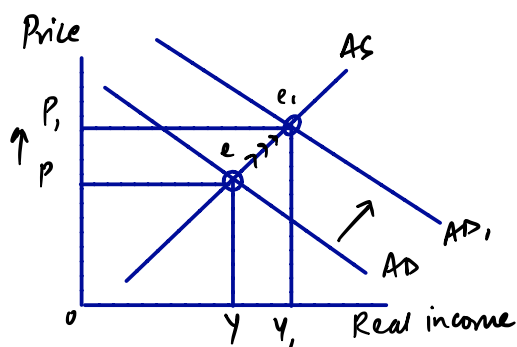
If both of these events occur, how will costs and benefits be affected?

- A External benefits will fall and social costs will fall. $\text{social cost} = \text{Private cost} + \text{External cost}$
 B External costs will rise and social benefits will fall.
 C Social costs and social benefits will fall. $\text{social benefit} = \text{Private benefit} + \text{External benefit}$
 ✓ D Social costs and social benefits will rise.

- 7 In 2015 there was a significant fall in the world price of petrol (gasoline).

What would not have been a cause of the price fall?

- ✓ A the continuing global recovery from the world economic recession $AD \uparrow$, prices $\uparrow$
 B the increasing exploitation of US oil reserves $S \uparrow$, prices $\downarrow$
 ✓ C the re-entry of Iranian producers to the world oil market $S \uparrow$, prices $\downarrow$
 D the shorter journeys from using the new Suez Canal $D \downarrow$, prices $\downarrow$



* Recession is a downturn or down swing in economic cycle when aggregate demand falls. As there is recovery, Aggregate demand will be increasing!

8 Which statement about financial matters is correct?

- A Commercial banks' main activity is the finance of international trade. [main activity is creating accounts & loans]
 B Paper banknotes possess all the desirable properties needed to act as money. (It doesn't)
 ✓ C Stock exchanges trade mainly in second-hand stocks and shares. [It does]
 D The central bank acts as the lender of last resort to companies facing bankruptcy.

↳ only for government

9 What is most likely to be used to support a claim for wage increases in an industry?

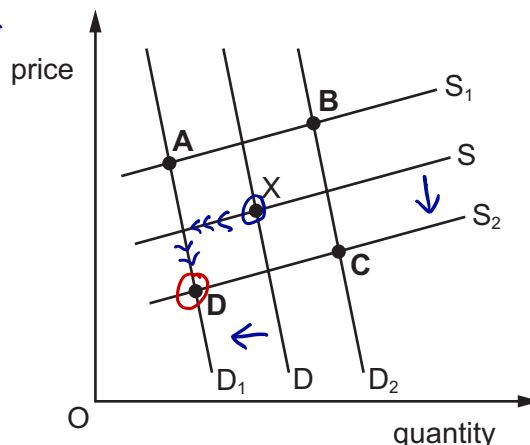
- A a decrease in the industry's sales (Low profits, low wages)
 B a decrease in the need for specialist training ($D_L \downarrow$, low wages)
 C an increase in cheap imports of a rival product (Less Demand of company's product)
 ✓ D an increase in wages in a similar industry (claim successful) $D_L \downarrow$ (low wages)

10 The government increases the rate of income tax and decreases the rate of a sales tax (VAT).

From the initial equilibrium point of X, which letter indicates the new equilibrium point in a market for normal goods?

* Increase Direct tax

↓
 less disposable income
 ↓
 Demand ↓



* Decrease in sales tax

↓
 less cost of production
 ↓
 Supply ↑

11 In South Africa, the number of skilled workers is relatively low. However, average wages in South Africa are double the average wage in Brazil and Turkey and they are 1.6 times higher than in Malaysia.

What may be concluded from this information?

- A Malaysian workers are more skilled than South African workers.
 B Prices in South Africa are double those in Brazil.
 C South Africa's labour productivity is low.

[Then wages would have been higher in Malaysia]

[If prices were double there incomes would have been low]

- ✓ D South African trade union bargaining power is strong.

⇒ Strong Bargaining

↓
 more higher wages!

If productivity was low, earning would have been less!

Primary with Primary, Secondary with Secondary, Tertiary with Tertiary

5

Same stage

12 To achieve horizontal integration, a firm producing tyres could merge with another firm producing

- A motor cars.
- B rubber.
- C tyre-producing machinery.
- ☒ D tyres.

* other concepts you must know:-
 - Vertical integration (Backward and forward)
 - Diversification

13 Which costs will necessarily fall continuously as output increases?

$$\text{Average fixed (AFC) cost} = \frac{\text{Total fixed cost}}{\text{Quantity}}$$

- ☒ A average fixed costs
- B average variable costs (increases and decreases)
- C opportunity costs
- D repayment costs of borrowing (fixed)

Increasing, decreasing, constant

* Fixed cost remains unchanged
 * With increase in qty, AFC falls
 * $\frac{100}{1}, \frac{100}{2}, \frac{100}{3}, \frac{100}{4}, \frac{100}{5}$

14 A monopoly takes over an industry from competitive firms.

What is not likely to be true about a monopoly compared with a competitive firm?

- A A monopoly will earn a higher rate of profit. (This is likely to happen, abnormal profits)
- B A monopoly will gain a greater share of the market. (This is likely to happen)
- ☒ C A monopoly will offer a wider choice to the consumer. (one large firm, not likely to happen)
- D A monopoly will operate on a larger scale of production. (This is likely to happen)

15 The table shows the costs of a firm.

units of output	variable cost (\$)	total cost (\$)
10	15	85
20	25	95
30	35	105
40	45	115

Total fixed cost

70

70

70

70

What is the value of the firm's fixed costs?

- A \$10
- B \$15
- ☒ C \$70
- D \$85

Total cost = Total Fixed cost + Total variable cost

Total cost - Total variable cost $\Rightarrow$ Total fixed cost

- 16 When is a tax ⁶progressive? → *Direct tax, income tax, impact on Rich, Income ↑ Tax ↑ rate*
^{or}
corporation tax
- A when some goods have a higher tax than others
 - ☒ B when the rate of tax increases as income increases
 - C when the tax is linked to the rate of inflation
 - D when the tax is on incomes rather than on goods or services

- 17 A government wishes to try to make the distribution of income in the country more equal.

Which policy would be most likely to achieve this?

- A reducing housing subsidies *(unequal) (Poor becomes poorer)* *High progressive (e.g. income tax)*
- ☒ B reducing indirect tax on food *(making goods affordable)* *Low Regressive and (e.g. sales tax)*
- C reducing inheritance tax *(unequal) (Rich becomes Richer)*
- D reducing tax on the dividends on stocks and shares *(unequal) (Rich becomes Richer)* *conflict*

- 18 In trying to achieve one of its aims a government may make it difficult to achieve another aim.

What is an example of this conflict?

- ☒ A Achieving a more even distribution of income may prevent a rise in the average standard of living. *(Non-conflicting objectives)*
- ☒ B Achieving an increase in economic growth may prevent full employment. *(Non-conflicting objectives)*
- ☒ C Achieving full employment may prevent stable prices. *(conflicting objectives)*
- ☒ D Achieving stable prices may prevent a current account surplus on the balance of payments. *(Non-conflicting objectives)*

- 19 Which policy combination will be the most effective if a government wishes to increase the level of employment?

- ☒ A decrease general taxation and decrease the rate of interest
- B decrease general taxation and increase the rate of interest *↳ ↑, same ↑, AD ↓, Employment ↓*
Tax ↑, D-Y ↓, C ↓, AD ↓, Employment ↓
- C increase general taxation and decrease the rate of interest
- D increase general taxation and increase the rate of interest *⇒ Both lead to 'AD ↓'*

Option A:- Tax ↓, C ↑, AD ↑, full employment
 ↳ ↓, save ↓, spend ↑, AD ↑, full employment

- 20 A newspaper reported that a country's economy had grown by 3% during the last year.

What must have increased in that year?

- A costs of production $\uparrow$, $AS \downarrow$, Prices $\uparrow$, Real income $\downarrow$, growth $\downarrow$
 B gross domestic product $\uparrow \rightarrow$ output $\uparrow$
 C unemployment $\uparrow$, $C \downarrow$, $AD \downarrow$, Real income $\downarrow$, growth $\downarrow$
 D wage levels $\uparrow$, cost $\uparrow$, $AS \downarrow$, prices $\uparrow$, Real income $\downarrow$, growth $\downarrow$

- 21 What is meant by deflation? Persistent and sustained 'fall' in general price level over a given period of time.

- A a fall in the general price level
 B a fall in the international value of a currency (Depreciation)
 C a fall in the rate of inflation (Dis-inflation)
 D a fall in the real value of money (Effect of inflation)

- 22 The information below refers to an economy for a financial year.

government expenditure = \$2866 million
 government revenue = \$1940 million

$\$1940 - \2866
 $\Rightarrow \$926 \text{m deficit}$

What was the budget balance of the government in that year?

- A \$926 million in deficit
 B \$4806 million in deficit
 C \$926 million in surplus
 D \$4806 million in surplus

Budget = Tax revenue - Government Expenditure
 Budget $\Rightarrow$ Tax revenue < Government Expenditure
 Budget $\Rightarrow$ Tax revenue > Government Expenditure

- 23 What is the change in GDP per head, after taking account of price increases (real change), between 2000 and 2013?

GDP deflator :-
 $\frac{\text{current price Index}}{\text{Base year price Index}}$

year	population million	consumer prices index (CPI)	GDP \$billion
2000	3	100	4000
2013	4	120	6000

$4000 \times \frac{120}{100} \Rightarrow \1333
 $\$1250^*$

- A from \$15 to \$125
 B from \$1250 to \$1333
 C from \$1333 to \$1250
 D from \$1333 to \$1500

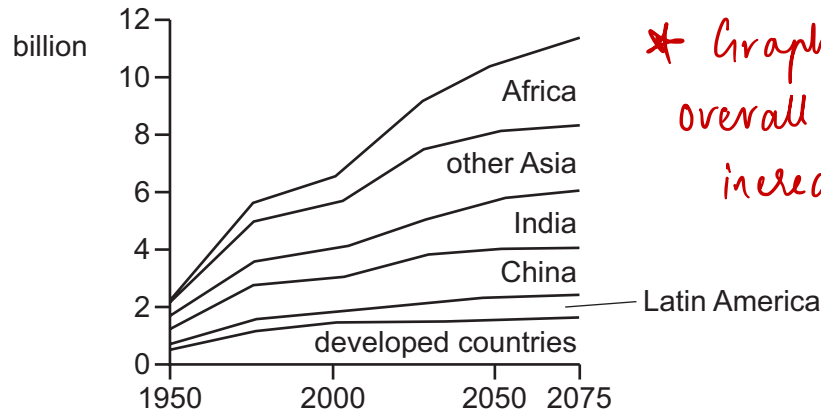
Real GDP = $\frac{\text{GDP}}{\text{population}} = \frac{5000}{4} \Rightarrow 1250^* (\text{year 2013})$

$\frac{\text{current GDP}}{\text{GDP deflator}} \Rightarrow \text{Real GDP}$ i.e. $\frac{6000}{1.2} \Rightarrow 5000$

24 Which statement about the poorest families in developing economies is not likely to be correct?

- A The children will be expected to work to help provide income. [This is true]
 ✓ B The family will find it easy to obtain loans to develop their farms. [This is not true]
 C The family will have a low earning capacity. [This is true]
 D The family will suffer from malnutrition and lack of medical care. [This is true]

25 The diagram shows population projections until the year 2075 for selected areas.



* Graph shows, overall population increasing

Assuming no migration, which situation must exist if the population is to change in the manner shown in the diagram?

- A birth rate falling and death rate falling *constant trend*
 ✓ B birth rate greater than death rate $B.R > D.R \Rightarrow \text{population } \uparrow$
 C death rate greater than birth rate $D.R > B.R \Rightarrow \text{population } \downarrow$
 D death rate rising and birth rate falling $D.R \uparrow, B.R \downarrow \Rightarrow \text{population } \downarrow$

26 The table shows information about four countries.

Which country is likely to be least developed?

*lowest % in service sector
 lowest life expectancy
 GDP per head varies, mostly lower*

	% of labour force in service industries	life expectancy	GDP per head (\$)
✓ A	20 ✓	49 ✓	380
B	35	49 ✓	350
C	40	53	350
D	45	63	450

Quantity
↑

27 Which government policy is most likely to increase the volume of exports?

- ✓ A devaluation (making our goods cheaper for foreign residents, prices ↓, QD ↑)
 B embargoes (complete ban)
 C quotas (physical limit on the quantity of goods imported)
 D tariffs (Tax on imported goods)

no restrictive tools used

28 What might encourage international specialisation between countries?

- ✓ A free trade (No tool of protection) ⇒ Allows countries to specialize
 B inefficiencies in production (Low Quality)
 C labour immobility (Less output)
 D tariffs (protectionism)

Domestic Demand in Russia rises, D ↑, Prices ↑

Surplus Left in 'EU'

29 In 2015, Russia banned the imports of food, such as milk, from the European Union (EU).

Which outcomes are most likely to happen as a result?

	milk market in Europe	price of milk in Russia	profits of EU farmers
A	excess demand	fall	rise
B	excess demand	rise ✓	rise
C	excess supply ✓	fall	fall ✓
✓ D	excess supply ✓	rise ✓	fall ✓

↓
 less sold after
 Russia Ban
 ↓
 Low profits!

30 In 2010, Vietnam experienced a deficit in the value of its trade in goods (visible) despite exporting a greater number of goods than it imported.

What could explain this?

- ✓ A The average price of its goods imported exceeded the average price of its goods exported. ^{TE ↑}
 B The average value of its goods exported ^{TR} exceeded the average value of its goods imported. ^{TE} (surplus)
 C The country had a deficit on its trade in services. (Data refers to goods (visible) trade)
 D The country's government imposed tariffs on imports. [m prices ↑, m (TE) ↓]

Option A:- Even they are exporting more
 They are probably importing raw material with higher prices
 Thus trade deficit [m (TE) > x (TR)]

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